Identifying a Market Gap in Lisbon's Accommodation Market for Middle-Class Retired Couples

Name: Chin Ju, Lin (Wendy)
Student number: 259366102
Unit code: MN50754

Contents

1 Executive Summary 2
2 Introduction 2
3 Target Segment and Empathy Map 3
3.1 Says 3
3.2 Thinks 3
3.3 Does 3
3.4 Feels 3
4 Data Sources and Methodology 4
4.1 Data sources 4
4.2 Target segment operationalisation 4
4.3 Filtering and analytical framework 4
5 Analysis and Results 5
5.1 Room Type Suitability 5
5.2 Affordability 6
5.3 Neighbourhood Trade-Offs 7
5.4 Short-Notice Availability 7
5.5 Review History and Market Credibility 8
6 Market Gap and Opportunity 9
7 Recommendation 9
7.1 Branded management solution 9
7.2 Location focus: Belém and Ajuda 10
8 Conclusion 10
9 References 10

1 Executive Summary

This report examines the opportunity to develop a new accommodation model in Lisbon, where demand for tourist accommodation remains strong. The aim is to identify a market gap that could be addressed for a specific target segment: middle-class retired couples. To do so, the report analyses Airbnb listing data alongside the broader accommodation conditions in Lisbon, with particular attention to room type, price, review performance, short-notice availability and location.

The findings suggest that the main market gap is not a general shortage of accommodation, but a shortage of accommodation that is both suitable and trustworthy for the target group. In particular, entire homes with kitchen facilities appear to be more closely aligned with the needs of retired couples. However, these options are often constrained by high prices, unsuitable location, and lower overall availability for short-notice. While some neighbourhoods offer attractive accommodation, they are not always affordable for the target segment. In addition, newly listed or less established properties may remain underutilised because they face a credibility disadvantage, especially when they lack review history.

Under current market and policy constraints, the opportunity lies in improving the use of existing suitable accommodation rather than expanding supply at scale. The report therefore recommends a branded, professionally managed accommodation model that can provide consistent cleanliness, safety, comfort, and service quality. Belém and Ajuda are identified as the most promising locations due to their relative affordability and strong locational appeal.

2 Introduction

Lisbon is a major tourism city in Portugal with a combination of heritage value, comfortable climate. This city appeals to tourists through its historical and cultural assets, including Jerónimos Monastery and Belém Tower, which are recognized as UNESCO World Heritage sites. Additionally, the city also benefits from relatively mild weather throughout the whole year, which can attract tourists not only from peak summer seasons.

Tourism consistently plays a significant role in local economy. The Lisbon Economic Dashboard represents that 5.4 million overnight stays in the city in the second quarter of 2025. The accommodation market includes a wide range of hotels and short-term rentals, although recent policy intervention reflects growing concern over the pressure of tourist accommodation on the long-term housing market.

Regarding socio-demographic information, Portugal has an aging population, with 24.3% of residents aged 65 and above in 2024. Together, these factors position Lisbon as a mature tourism city with a diverse but increasingly constrained accommodation market and a broader demographic context relevant to later market analysis.

3 Target Segment and Empathy Map

First, the target group is defined as middle-class retired couples aged 55 and above. “Middle-class” reflects a group with sufficient financial resources for travel, but who still remain price-conscious rather than fully price-insensitive. Their retired status also suggests greater flexibility in travel timing and length of stay. As a result, both affordability and time flexibility are important factors in the analysis. The following empathy map is used to explore their likely needs, preferences, and travel expectations.

3.1 Says

Middle-class retired couples say that location and budget are their priorities, while the design of accommodation is less important. They expect the space should be quiet, clean and comfortable because they value the quality of sleep.

3.2 Thinks

Compared with luxury enjoyment, they prefer staying longer in order to experience the lifestyle of the city. To be more specific, the middle-class retired couples hope to experience local life, including buying food and ingredients in supermarkets, walk around the neighbourhood and taking public transportation. Therefore, cooking by themselves not only allows them to choose whatever they want to eat and suit their eating habits, but also helps them control limited budget for food. Whether the accommodation offers a kitchen is one of the main considerations for retired couples.

3.3 Does

Before travel, compared with ordinary workers, they tend to plan trips at short notice because they are not restricted by limited annual leave or specific dates such as public holidays. Their advantage is having flexible time to avoid crowds during peak travel periods. During the trip, they tend to arrange their itinerary at a slower pace, without rushing or following tight schedules. Moreover, they are likely to return to the accommodation earlier in order to prepare dinner and take a rest, so that they can recharge for the remainder of the trip.

3.4 Feels

This kind of travel makes them feel genuinely relaxed and allows them to maintain a rhythm of life that is close to their usual and familiar routine, rather than feeling exhausted after a whole day od sightseeing. Furthermore, they can still experience the local lifestyle and broaden their horizons, which is what they want to gain from travelling.

4 Data Sources and Methodology

4.1 Data sources

This analysis mainly used the Lisbon dataset from the Inside Airbnb repository, which contains publicly compiled information on Airbnb listings, including room type, price, neighbourhood, amenities, review scores, minimum stay, and forward availability calendars. To provide broader market context, secondary sources on Lisbon tourism and Portuguese demographics were also reviewed.

4.2 Target segment operationalisation

Based on the empathy map, the needs of middle-class retired couples were operationalised using available listing-level indicators. The key needs identified were privacy, kitchen access, convenient location, affordability, and short-notice availability. Privacy was proxied by room type, as different room types represented different levels of independence and private space. Kitchen access was identified through kitchen-related keywords in the amenities field. Affordability was assessed using listing price. Convenient location was approximated by review scores for location, while 30-day availability was used as a proxy for short-notice bookable supply. Together, these variables provided a practical basis for evaluating how well different listings matched the preferences of the target segment.

4.3 Filtering and analytical framework

To assess whether Lisbon contained an underserved accommodation opportunity for middle-class retired couples, the analysis followed a staged filtering and evaluation framework. First, listings were filtered according to basic suitability conditions, including accommodation for at least two guests, with at least one bedroom and one bed. This step removed listings that were clearly unsuitable for couple travel and narrowed the analysis to realistic options only.

Second, the analysis evaluated room type to determine which accommodation form best matched the core needs of the target segment. This step was important because privacy and kitchen access were considered essential requirements, and different room types represented distinct forms of accommodation rather than close substitutes. By comparing room types in terms of privacy, kitchen provision and price, the analysis identified the most relevant product segment for retired couples.

Third, after identifying the most suitable room type, the analysis examined neighbourhood differences to determine where the strongest balance between affordability and locational appeal could be found. This sequencing was important because location was a major driver of both accommodation price and visitor experience, while operational factors such as cleanliness, communication, and service consistency could be improved more easily through management. Neighbourhoods

were therefore compared using location review scores alongside price, with relatively affordable but well-rated areas treated as more promising.

In addition, review history was examined to assess whether part of the constraint might reflect a credibility gap rather than a pure shortage of physical supply.

Finally, the framework assessed whether suitable supply remained limited even within the most promising accommodation type and neighbourhood conditions. This final step was necessary to distinguish between a market with generally available options and one where supply was insufficient in the specific segment most relevant to retired couples.

5 Analysis and Results

5.1 Room Type Suitability

This section evaluates which accommodation type most closely matches the core functional needs of retired couples. Among the main Airbnb room types, entire homes provide the most suitable combination of space, privacy, and home-like facilities. Compared with other room types, entire homes offer greater independence and a quieter living environment, while also being more likely to include kitchen facilities. Private rooms may meet the requirement for kitchen access, but they involve a higher risk of noise, shared space, and reduced privacy. Hotel rooms generally provide privacy and comfort, but they are limited in number on Airbnb and are less likely to include kitchen facilities.

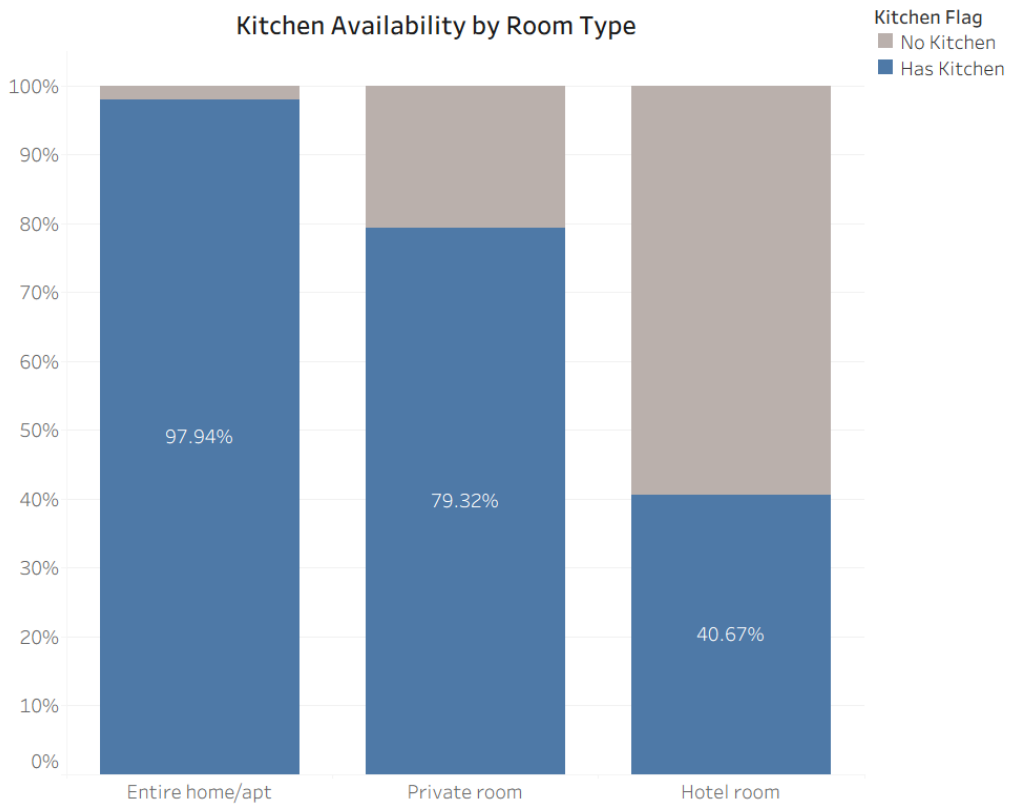


Figure 1. Kitchen Availability by Room Type

5.2 Affordability

On this basis, hotel rooms are excluded from further consideration, as they provide kitchen facilities less frequently and are typically more expensive. Entire homes, however, are generally much more expensive than private rooms, in some cases costing around twice as much. This price difference may reflect stronger demand, more limited supply, or the higher value placed on privacy and home-like quality. For retired couples, affordability remains important, especially because they are more likely to stay for longer periods. Although the daily price of an entire home may still be acceptable, the total cost of a longer stay may place pressure on a middle-class travel budget. This suggests that the key issue is not simply whether entire homes are suitable, but whether they can be delivered at a price point that remains cost-effective for the target segment.

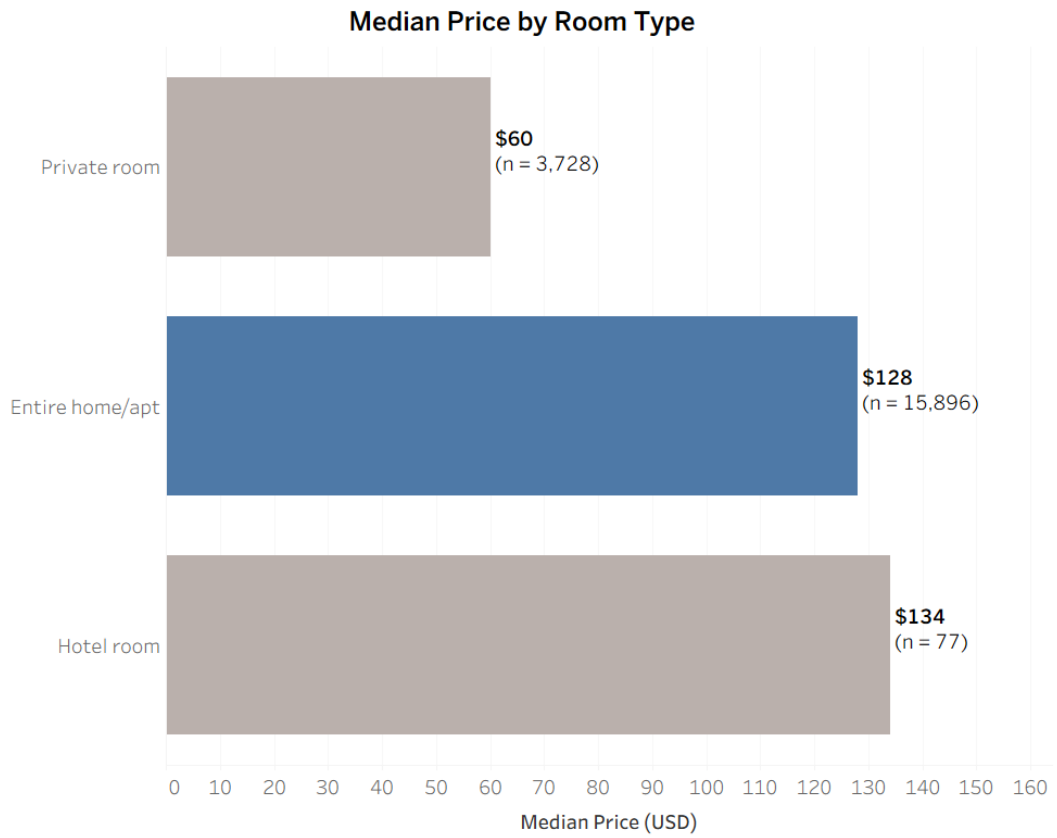


Figure 2. Room Type Pricing

5.3 Neighbourhood Trade-Offs

After identifying entire homes as the most suitable accommodation type, the analysis then examines which neighbourhoods offer the strongest balance between affordability and locational appeal. This is especially important in Lisbon, where neighbourhood differences strongly affect both visitor experience and accommodation cost. Santa Maria Maior, Santo António, and Misericórdia perform strongly in terms of locational appeal and market supply, but their higher prices may place pressure on the budgets of retired couples, particularly those planning longer stays. By contrast, Belém and Ajuda have smaller supply but combine relatively affordable prices with strong location satisfaction, making them more compatible with the needs of retired couples seeking value, comfort, and a more local living experience.

5.4 Short-Notice Availability

However, even in these promising areas, the availability of suitable entire homes remains limited. This may reflect either restricted supply by owners or relatively strong demand for well-matched listings. In either case, the findings suggest that the market gap is not simply about neighbourhood attractiveness, but about the limited availability of suitable and bookable entire-home options in the areas that appear most

relevant to the target segment. At the same time, very high short-term availability could also indicate weak demand or underutilisation, so the commercial opportunity lies not in maximising vacancy, but in increasing reliable and trusted supply at an appropriate level.

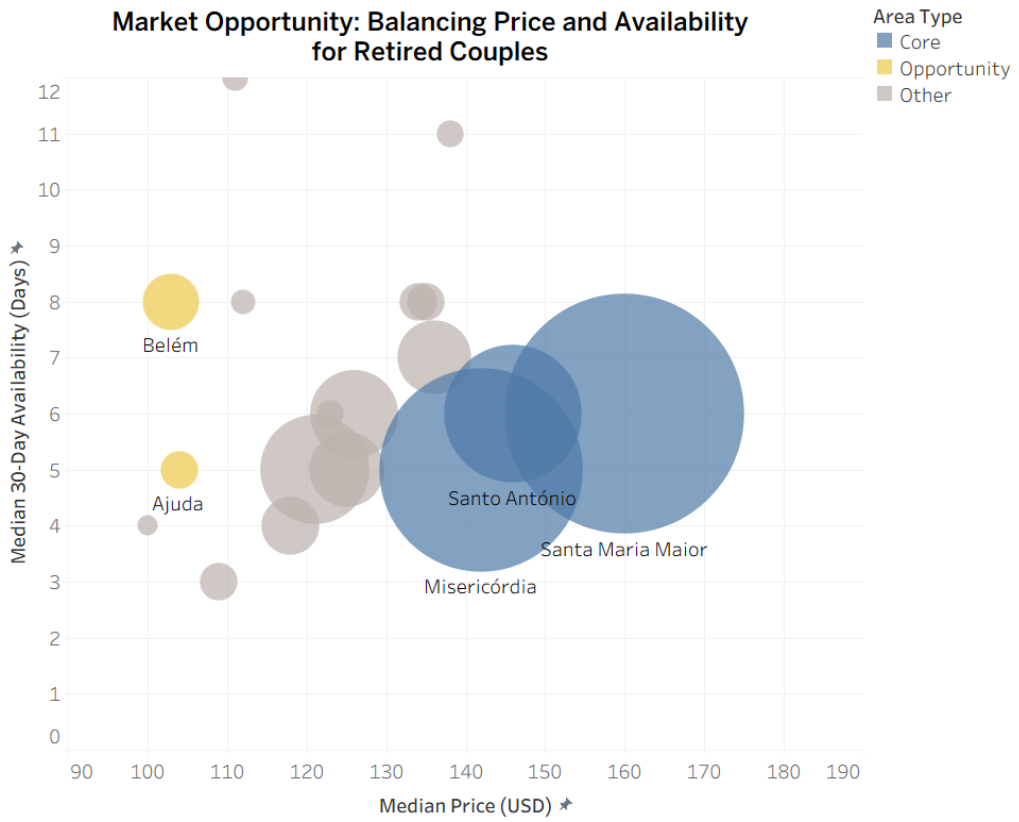


Figure 3. Neighbourhood Comparison: Price and Location Appeal

Note: Bubble size represents listing count. The sample is restricted to couple-suitable entire-home listings in Lisbon with high location review.

5.5 Review History and Market Credibility

Review analysis further suggests that review history is strongly associated with booking-related performance. Within the filtered sample of suitable entire homes with kitchen access, zero-review listings showed a median estimated occupancy of 0, compared with 12 for listings with 1–5 reviews, 42 for listings with 6–20 reviews, and 162 for listings with more than 20 reviews. Given Lisbon's continued tourism demand, this weak performance is unlikely to reflect lack of market demand alone. Instead, it suggests that the challenge faced by these listings is not simply one of physical availability, but also one of market credibility. In other words, some suitable homes may remain underutilised because they lack visible reputation and customer

trust. This supports the idea that part of the market gap may be a credibility gap rather than a pure shortage of supply.

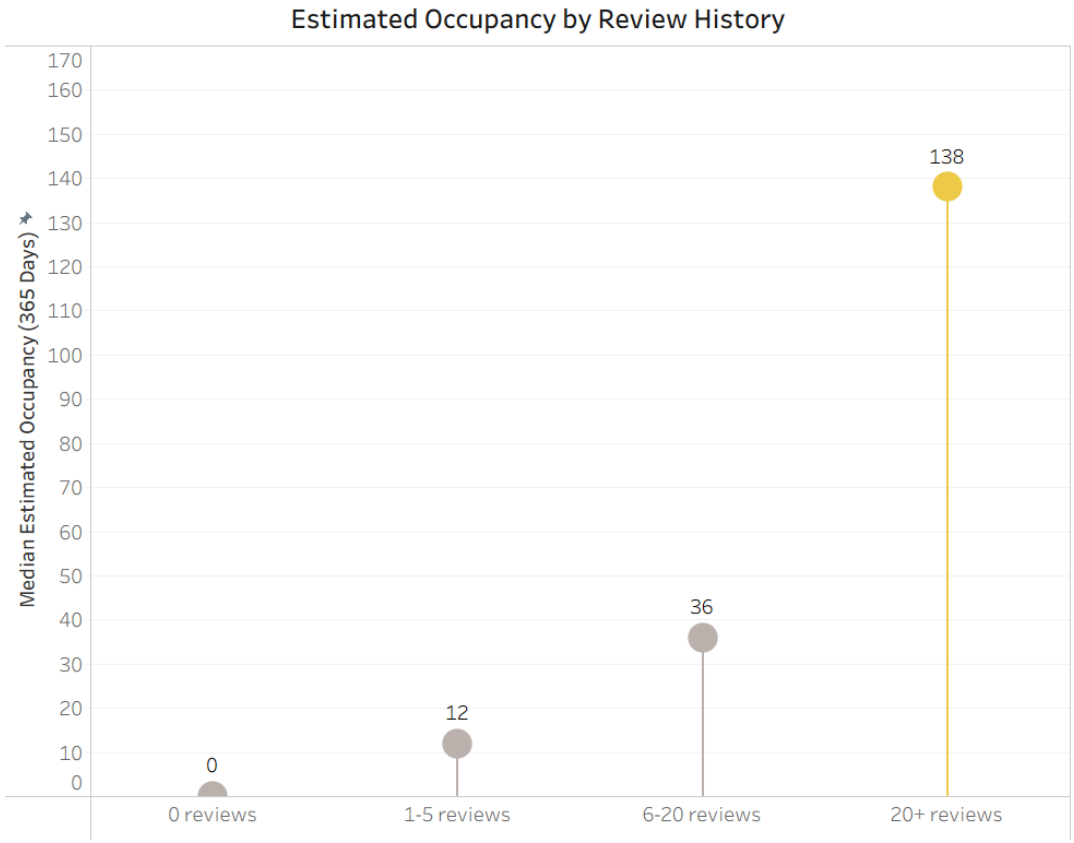


Figure 6. Median Estimated Occupancy by Review History Group

6 Market Gap and Opportunity

Taken together, these findings suggest that the market gap is not simply a shortage of accommodation overall, but a shortage of trusted and well-matched accommodation for the target segment. In Lisbon, strong tourism demand coexists with accommodation pressure and regulatory constraints on short-term rentals. Under these conditions, the more practical opportunity is not to rely on large-scale expansion of new supply, but to improve the utilisation and market readiness of existing homes.

7 Recommendation

7.1 Branded management solution

One key recommendation is to develop a branded, professionally managed entire-home accommodation model, particularly focused on homes with kitchen facilities. Such a model could reduce information asymmetry by offering standardised quality

assurance, including consistent cleanliness, safety, basic kitchen equipment, and service reliability. In doing so, it could help newly listed or under-reviewed homes become more credible to customers before substantial review history has accumulated.

This approach is especially relevant in a market where some physically suitable listings appear to underperform not because of weak demand alone, but because they lack visible reputation and customer trust. A branded model could therefore improve the effective utilisation of existing supply rather than depending on large-scale additions of new short-term accommodation.

7.2 Location focus: Belém and Ajuda

From a market-entry perspective, Belém and Ajuda appear to be the most promising locations for this model. These neighbourhoods offer a stronger balance between affordability and locational appeal than more expensive central districts, while still aligning with the target segment's preference for comfort, convenience, and a more local living experience.

Because neighbourhood is one of the main drivers of both accommodation price and visitor experience, focusing on relatively affordable but well-rated areas is likely to be a more viable strategy than competing directly in the most premium parts of the city. This makes Belém and Ajuda suitable priority areas for testing and developing the proposed accommodation concept.

8 Conclusion

In conclusion, the gap identified in Lisbon is both a fit gap and a credibility gap. The strongest strategic opportunity therefore lies in making existing supply more trusted, more standardised, and more accessible to the right customer segment, rather than relying primarily on large-scale new supply expansion.

9 References

UNESCO World Heritage Centre (2014) *Monastery of the Hieronymites and Tower of Belém in Lisbon*. Available online. Accessed 11 April 2026.

Visit Lisboa (n.d.) *Traveller information*. Available online. Accessed 11 April 2026.

Lisboa City Council (2026) *Tourism Indicators – Lisboa Economic Dashboard*. Available online. Accessed 11 April 2026.

Lisboa City Council (2026) *Local Accommodation*. Available online. Accessed 11 April 2026.

Instituto Nacional de Estatística (2025) *Press Release 753288354*. Available online. Accessed 11 April 2026.